Press Release

HCP Plastene Bulkpack Ltd

March 02, 2026

Ratings

Instrument / Facility	Amount (Rs. crore)	Current Ratings	Previous Ratings	Rating Action	[Complexity Indicator]
Long Term Bank Facilities	125.00 (Enhanced from Rs.50.00 crore)	IVR BBB- /Positive (IVR Triple B Minus with Positive Outlook)	IVR BBB- /Negative (IVR Triple B Minus with Negative Outlook)	Rating Reaffirmed and Outlook revised from Negative to Positive	**Simple**
Total	**125.00 (Rupees One Hundred and Twenty-Five Crores Only)**				

Details of Facilities/Instruments are in Annexure 1. Facility wise lender details are at Annexure 2. Detailed explanation of covenants is at Annexure 3.

Detailed Rationale

Infomerics Ratings has reaffirmed its rating assigned to the bank facilities of HCP Plastene Bulkpack Ltd (HPBL) and revised the outlook from Negative to Positive. The rating derives strengths from increase in TOI and improvement in profitability in FY25 and in the current year as well as improved capital structure and debt coverage indicators during FY25 which are expected to be maintained at similar level at end FY26. The rating also considers state of art infrastructure set up and location of the plants close to domestic raw material suppliers as well as to the ports in Gujarat resulting in lower logistics costs. HPBL's presence in specialised and customised segment of Flexible Intermediate Bulk Container (FIBC) bags with wide product portfolio and diversified geographical presence through exports also contributes to better margins as compared to conventional woven sack manufacturers generating revenues primarily from the domestic market. Infomerics has also considered the synergies of being part of the Champalal group of companies. The agency notes that the company does not have any material capex plans in projected years due to which steady improvement in overall gearing level is likely over next three years. HPBL's improving revenues supported by risk mitigation strategies also support stable margins.

The ratings are also constrained by working capital intensive nature of operations and the operating margin, which although better than for commodity segment of the HDPP sack industry, is still competitive.

The Positive outlook on HPBL reflects the company's improved financial performance during 9mFY26, characterised by growth in operating income and strengthening profitability margins. The improvement is supported by better capacity utilisation, stable demand for FIBC and bulk packaging products, and operating leverage benefits. The outlook also factors in the company's strategic initiative of commencing direct exports during FY25 (as compared to largely job-work driven revenues till FY24) which is expected to support strong revenue growth and diversify the customer base. Sustained improvement in cash accruals, along with prudent working capital management, is expected to support its liquidity profile and overall credit metrics over the near to medium term.

Key Rating Sensitivities:

Upward Factors

- Significant growth in scale of business with improvement in profitability metrics.
- Sustained improvement in overall gearing and debt protection metrics and liquidity profile.
- EBIDTA Interest coverage >3.5x on sustained basis.

Downward Factors

- Any large debt-funded capex resulting in deterioration in the financial profile, especially liquidity, gearing and debt coverage metrics
- Stretch in the working capital cycle negatively impacting liquidity position.

List of Key Rating Drivers with Detailed Description

Key Rating Strengths

- **Improved capital structure and moderate debt coverage indicators**

  The company's capital structure has shown improvement over the period, supported by accretion of profits and strengthening of tangible net worth. The adjusted tangible net worth increased to ₹52.87 crore as on March 31, 2025 from ₹36.70 crore as on March 31, 2024. Consequently, the overall gearing ratio (on adjusted tangible net worth) strengthened to 3.63x as on March 31, 2025 from 4.34x as on March 31, 2024, while the adjusted

TOL/adjusted TNW improved to 3.93x from 4.60x over the same period. Further, leverage is projected to improve over the medium term, supported by continued profit accretion and gradual reduction in long-term debt. The company's debt coverage metrics improved during FY25, reflecting better operating performance. The interest coverage ratio improved to 2.41x in FY25 from 1.42x in FY24, supported by higher EBITDA generation. The DSCR also improved to 1.39x in FY25 from 0.71x in FY24, aided by improved cash accruals, despite an increase in interest costs. Further, Total Debt to EBITDA improved to 5.40x as on March 31, 2025 from 9.47x as on March 31, 2024, though it remains at a moderate level. Overall, the debt coverage indicators remain adequate and are expected to strengthen gradually over the projected period, subject to sustained operating performance and effective working capital management. The financial profile is also expected to benefit from the company's additional capacity of 6,000 MTPA, which became operational from April 1, 2025. The new capacity is primarily focused on FIBC bags, whereas earlier the facility was largely utilised for manufacturing cement and fertiliser sacks prior to the takeover through the NCLT process. The shift towards higher-value FIBC products is expected to support improved realisations and profitability over the medium term.

- **Increase in TOI and improvement in profitability**

  The company witnessed a strong recovery in its operating performance, with Total Operating Income (TOI) increasing to ₹463.44 crore in FY25 from ₹294.56 crore in FY24, driven by higher business volumes as it commenced direct exports in FY25 (whereas earlier it was primarily engaged in job work for its subsidiaries), along with improved product realizations. The increase in scale resulted in better operating leverage, leading to a rise in EBITDA to ₹35.24 crore in FY25 from ₹16.67 crore in FY24, with EBITDA margins improving to 7.60% from 5.66%. Consequently, PAT improved significantly to ₹13.36 crore in FY25 from ₹0.31 crore in FY24, with PAT margins increasing to 2.85% from 0.10%, reflecting improved cost absorption and overall operating efficiency. The company has maintained its robust growth performance in FY26 reflecting increase of TOI~31.01% in 9mFY26 to Rs.494.53 crore as compared to Rs.341.15 crore in 9mFY25. The EBITDA margin for the period stood at 10.12% vis-à-vis 6.53% in corresponding period of previous year.

- **Locational advantage and state of the art infrastructure set up**
  HPBL's plant is located close to Kandla port and Mundra port, which helps it to save on freight cost on both imports as well as exports. It also has proximity to Reliance Industries Limited's refinery for sourcing polypropylene. In addition to this the Group has many manufacturing units located in Gujarat at multiple places like Gandhidam, Ahmedabad, Rajpur, Kalol and Kutch. All the units are well facilitated with modern machineries and technologies to get higher output and better quality of finished products.
- **Presence in specialised, customised segment with wide product portfolio and diversified geographical presence leads to better margins as compared to conventional woven sack manufacturers.**
  HPBL group operates in a specialised product segment comprising of food and pharma grade Flexible Intermediate Bulk Container (FIBC) bags rather than the commoditised segment of cement and fertiliser sacks, with a focus on manufacturing products customised as per specific client requirements. This enables the company to command relatively better realizations, maintain stable margins (EBITDA % maintained at 5%-6% for last several years), and build long-term customer relationships, thereby reducing exposure to price-based competition typical in commodity-driven businesses. In addition, the company has established a strong presence in international markets alongside its domestic operations, resulting in a balanced mix of global and local revenues. This diversified geographical footprint helps mitigate the risk of downturns in any single market and supports stability in revenue and operations, while supporting higher margins.
- **Synergies of being part of the Champalal Group of companies**
  There are 4 companies in the Champalal Group which are engaged in the manufacture of products made from HDPP woven fabrics. The group has a wide product basket comprising of film laminates, FIBC bags, liners, BOPP laminated woven sacks, and HDPE & PP woven sacks apart from the products for specialised applications such as FIBC D type and C type bags for the food and pharma industry. As a group, it is able to offer a large number of SKUs to clients thereby strengthening client relationships by having bigger share of wallet of clients. The raw material requirements across group companies are consolidated while negotiating purchases from suppliers of raw materials from overseas (Saudi Arabia, China) or India (Reliance Industries Ltd), thereby achieving cost savings. The Champalal Group is one of the largest importers of HDPP granules in the country and enjoys considerable leverage

when dealing with overseas suppliers. In addition, there are inter-company sales and purchase transactions typically for finished products largely for meeting balance quantity requirements for fulfilling orders from clients.

HPBL and its subsidiary KP Woven Private Limited (KPWPL) have offered cross guarantees to each other's lenders which also reflects the close financial linkages between the two entities. Infomerics has taken a combined view when assigning the rating to debt facilities of the parent HPBL. The promoters have a track record of extending unsecured loans to support working capital requirements of group companies on a need basis. The rate of interest on these loans and repayment terms are flexible which provides liquidity support to companies in the group.

- **No capex is expected in projected years to lead to improved gearing**

  The company has recently installed an additional capacity of 6000 MTPA from 1st April 2025 with total capacity of 24300 MTPA. The company does not have any major capital expenditure planned during the projected period of FY27–FY28. The absence of significant capex outlay is expected to support improvement in profitability, as internal accruals will not be diverted toward fixed asset creation and can instead be utilised for working capital requirements (thereby resulting in reduced interest costs on working capital borrowings) and strengthening the balance sheet. Further, the existing installed capacity of 18300 Mtpa (Till FY25) is considered adequate to support the projected scale of operations considering that capacity utilisation was only 31% in FY25. With the company having commenced direct exports, as against its earlier business model of undertaking job work for its subsidiaries, capacity utilisation is expected to improve over the medium term. The shift toward direct sales is also likely to result in better realizations and improved operating margins, thereby supporting overall profitability and cash accruals during the projected period.

  Due to significant accretions to networth over the medium term and incremental debt restricted to borrowings against EPC/CC/PCFC, the overall gearing is likely to reduce to below 2x by end FY28.

- **Risk mitigation strategies also support stable margins**

  The company generates revenues either through annual rate contracts with clients or from routine orders. In both cases, the company negotiates the conversion rate with clients with raw material prices being completely pass through. As the company is not present in the commoditised segment of the woven sacks industry, it does not follow a stock and sell business model, with the entire production backed by confirmed orders which minimises inventory levels.

Exports which contributed to 53.70% of FY25 revenues, are completely insured under Export Credit Guarantee Corporation. Moreover, at any time the management evaluates the net interest expenses under Export Packing Credit borrowings (where interest subvention of Rs.50 lakhs/ company/ year is available from Ministry of Finance) with Packing Credit in Foreign Currency where the company has to incur expenses towards forward premium and then takes a prudent call on funding of working capital.

Considering that the Champalal Group derives the majority of revenues through exports, the management has implemented a policy whereby FX exposure of >USD2m is always hedged at any time.

- **Experienced promoters and management team with strong track record in managing operations**

  HPBL is part of Gujarat based Champalal Group which carries an extensive experience of over two decades in the flexible packaging industry. The promoters are supported by an experienced and qualified pool of management comprising of other Board of Directors and senior level management. Strong understanding of market dynamics has helped the company in withstanding industry cycles, diversify the product profiles and expand the capacity. Thus, strong track record of business operations and rich experience of the management helps in driving the future growth of business by articulating its brand in a way where the customers are attracted towards its reliable and quality products.

Key Rating Weaknesses

- **Operating margin although better than for commodity segment of the HDPP sack industry, is still competitive**

  The company's operating profitability is relatively better than that of the commodity segment of the HDPP woven sack industry, particularly manufacturers catering to the cement and fertiliser segments, where EBITDA margins are typically observed in the range of **3%–5%** due to intense price competition, standardised products, and limited value addition. In comparison, the company operates in the specialised FIBC and value-added woven products segment, which involves customised specifications, export-oriented orders, and higher entry barriers in terms of quality certifications and customer approvals. This results in relatively better pricing power and margins, reflected in its EBITDA margins of around 5%–8% in the past three years, which are higher than those of the commodity cement sack manufacturers. However, despite operating in a specialised segment, the company derives a significant portion of its revenues from export markets, where it faces competition from manufacturers in China, Vietnam, Bangladesh, and other low-cost Asian countries. In order to secure and retain export orders, the company is required to maintain competitive pricing, which limits its ability to significantly expand margins. Accordingly, despite its presence in the specialised HDPP woven sack segment, the company's EBITDA margins are expected **to** remain range-bound in the 7%–9% range over the medium term. HPBL's higher margin than its subsidiary KPWPL is because a portion of revenues are on account of job work where margins are higher given the absence of raw material expenses.

- **Working capital–intensive nature of operations:**
  The company's operations are working capital intensive, as reflected in an elongated operating cycle of 96 days in FY25 (88 days in FY24), driven mainly by higher receivable days of 61 days and inventory holding of 39 days. Consequently, the company continues to rely on bank working capital borrowings, which increased to ₹98.68 crore as on March 31, 2025, thereby increasing sensitivity to timely collections and inventory management.

Analytical Approach: Consolidated

For arriving at ratings, Infomerics has taken consolidated view of HCP Plastene Bulkpack Limited and its subsidiary i.e. K.P. Woven Private Limited (51.23%) together referred to as "HCP Plastene Bulkpack Limited" (HPBL).

Name of the Company	Consolidation Approach
K.P. Woven Private Limited	51.23%

Infomerics has analysed the consolidated financial statements to arrive at the ratings as the promoters and management are common, both the companies are in same line of business, there are inter-company transactions in terms of sales and purchase, common dealership network, procurement from the same suppliers and both the companies have operational as well as financial linkages. Both companies have offered cross guarantees to each other's lenders.

Applicable Criteria:

[Rating Methodology for Manufacturing Companies]
[Criteria on assigning rating outlook]
[Policy on Default Recognition and Post-Default Curing Period]
[Complexity Level of Rated Instruments/Facilities]
[Financial Ratios & Interpretation (Non- Financial Sector)]
[Consolidation of Companies]

Liquidity – Adequate

The liquidity position of HPBL remains adequate, supported by a current ratio of 1.04x as on March 31, 2025 and comfortable gross cash accruals (GCA) of Rs. 22.51 crore in FY25. The company's cash accruals are expected to improve further with the anticipated increase in scale of operations, with projected annual GCA of around Rs. 30–50 crore over FY26–FY28, which is expected to be sufficient to meet its scheduled debt repayments during the period. While the average utilisation of fund-based working capital limits remained moderately high at ~82.38% for the twelve months ended November 2025, indicating limited liquidity cushion, the company continues to benefit from the promoters demonstrated track record of infusing unsecured loans into the business as and when required, thereby providing additional financial flexibility.

About the Company

HPBL, formerly known as Gopala Polyplast Limited (GPL) was incorporated in 1984. In 1994, Gopala Polyplast Limited become Public with its maiden Public Issue. The company manufactures Jumbo bags, Woven sacks, Woven Fabrics, Laminates, Multifilament Yarns, Master batches, Flexible packaging products which are widely used in different industries such as Pharmaceutical, Chemical, Food grain, Cement etc. Presently, HPBL is a part of Champalal Group, a reputed FIBC manufacturer and exporter from India with a diverse portfolio comprising of FIBCs and small bags.

Financials (Consolidated):

(Rs. crore)

For the year ended/ As on*	31-03-2024	31-03-2025
	Audited	Audited
Total Operating Income	294.56	463.44
EBITDA	16.67	35.24
PAT	0.31	13.36
Total Debt	157.90	190.23
Tangible Net Worth	36.35	52.34
EBITDA Margin (%)	5.66	7.60
PAT Margin (%)	0.10	2.85
Overall Gearing Ratio (x)	4.34	3.63
Interest Coverage (x)	1.42	2.41

* *Classification as per Infomerics' standards.*

Financials (Standalone):

(Rs. crore)

For the year ended/ As on*	31-03-2024	31-03-2025
	Audited	Audited
Total Operating Income	45.55	118.09
EBITDA	1.28	13.54
PAT	-3.16	5.74
Total Debt	48.24	58.19
Tangible Net Worth	14.04	22.05
EBITDA Margin (%)	2.80	11.47
PAT Margin (%)	-6.76	4.80
Overall Gearing Ratio (x)	3.44	2.64
Interest Coverage (x)	0.32	2.65

* *Classification as per Infomerics' standards.*

Status of non-cooperation with previous CRA: Nil

Any other information: Nil

Rating History for last three years:

Sr. No.	Name of Security/Facilities	Current Ratings (2025-2026)			Rating History for the past 3 years		
		Type (Long Term/Short Term)	Amount outstanding (Rs. Crore)	Rating	Date(s) & Rating(s) assigned in 2024-2025	Date(s) & Rating(s) assigned in 2023-2024	Date(s) & Rating(s) assigned in in 2022-2023
					Date (March 26, 2025)	**Date** (Month XX, 20XX)	**Date** (Month XX, 20XX)
1.	Cash Credit	Long Term	125.00	IVR BBB-/Positive	IVR BBB-/Negative	-	-

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Analytical Contacts:

Name: Sudarshan Shreenivas

Tel: (022) 62396023

Email: sudarshan.shreenivas@infomerics.com

About Infomerics:

Infomerics Valuation and Rating Ltd [Formerly Infomerics Valuation and Rating Private Ltd] (Infomerics) was founded in the year 1986 by a team of highly experienced finance professionals for research and risk evaluation. Infomerics commenced its activities as External Credit Assessment Institution after obtaining registration from Securities Exchange Board of India (SEBI) and accreditation from Reserve Bank of India (RBI).

Adhering to best international practices and maintaining high degree of ethics, the team of analysts at Infomerics deliver quality credit ratings. Infomerics evaluates wide range of debt instruments which helps corporates access to financial markets and provides investors credit ratings backed by in-depth research. The transparent, robust, and credible ratings have gained the confidence of investors and the banks.

Infomerics has a pan India presence with Head Office in Delhi and Corporate Office at Mumbai, with branches in major cities and representatives in several locations.

Infomerics also has international presence with credit rating operations in Nepal through its JV subsidiary.

For more information and definition of ratings please visit www.infomerics.com.

Annexure 1: Instrument/Facility Details

Name of Facility/ /Security	ISIN	Date of Issuance	Coupon Rate/ IRR	Maturity Date	Size of Facility (Rs. Crore)	Rating Assigned/ Outlook
Cash Credit	-	-	-	-	125.00	IVR BBB-/Positive

Annexure 2: Facility wise lender details:
https://infomericstorage.blob.core.windows.net/uploads/LEN_HCP_Plastene_Bulkpack02_March26_f232b96e02.pdf

Annexure 3: Detailed explanation of covenants of the rated Security/facilities: Not Applicable

Annexure 4: List of companies considered for consolidated/Combined analysis:

Name of the company/Entity	Consolidation
K.P. Woven Private Limited	51.23%

Note on complexity levels of the rated instrument: Infomerics has classified instruments rated by it on the basis of complexity and a note thereon is available at www.infomerics.com.